

private sector banks like Yes Bank, IndusInd Bank and Kotak Bank, which had much smaller savings and current account bases.

The stocks dropped off the cliff, and for many of the bulls in these stocks, a big chunk of the profits made over the last year were wiped out within a few days. The fall in these stocks was exacerbated by the leveraged positions built up in the derivatives segment, as too many bulls had piled on in the hope of making some easy money. There is never an assured-return stock in the market, and everybody is only too aware of it. But once in a while, players tend to forget this rule and it is then left to the market to harshly remind them about it.

RBI continued to put other curbs in place to bolster the rupee, such as higher duties on gold to deter imports, but the currency still continued to sink slowly. With the stock and currency markets in a tizzy, conspiracy theorists had a field day. One theory doing the rounds was that the government was holding RBI back from aggressively defending the rupee. While the RBI was announcing one measure after the other to prop up the rupee, some currency traders read between the lines to conclude that the signals from RBI suggested its heart was not in the battle.

These theorists reasoned that politicians and industrialists were looking to bring back their illicit funds stashed abroad, and the rupee was being allowed to weaken so that they could convert their dollars at the best exchange rate. And the black money was being brought back because the secrecy laws were no longer the bulletproof shield of immunity they had been in the past, said the theorists. Governments globally were putting pressure on banks in tax havens to disclose the details of customers to check for their residents suspected of flouting tax rules. The black money was being routed back to the country to also feed the politicians who would need hard cash to fight the general elections coming up in April 2014, they added.

The furore over black money in India had resulted in authorities here knocking at the doors of countries that were popular destinations for black money. Nothing came out of these expeditions, but suddenly there was nothing like a safe haven any more as far as black money account holders were concerned.

In the monetary policy review on 30 July, the RBI policy document had admitted that the country was caught in the classic 'impossible trinity' trilemma, where it was grappling with weak growth, high inflation and a